

Topics 4/5/6 – SEMINAR 5

Topic: Property Market Dynamics: Theory and Empirical Tests

Format: Past exam question – Group presentations of possible solutions

Tasks:

1) Read and attempt to answer the following exam question (from 2012/13):

Various key measures of residential and commercial property markets behave cyclically (i.e., the measures are serially correlated and mean reverting).

- a) *Various theories can explain real estate cycles or aspects of cyclical behaviour. Discuss two theories. Discuss the main mechanism, predictions and supporting evidence for each of the two theories. (40 marks)*
- b) *How have empirical researchers tried to identify whether real estate booms are the result of (i) demand and supply “fundamentals” or instead (ii) deviation from equilibrium, and what are the main empirical difficulties that these researchers faced? (40 marks)*
- c) *The two U.S. metropolitan areas, Las Vegas and Phoenix, arguably face few long-term constraints to housing supply. Yet, they observed a steep house price increase during the first half of the 2000s, followed by an even steeper decline during the second half of the 2000s. House prices in both markets were lower in 2009 than in 2000. How can you explain this phenomenon? Discuss. (20 marks)*

2) Prepare short presentations in sub-groups (**maximum of 6 minutes** per sub-group):

Sub-group A1 and A2:

Answer/discuss part a) of the exam question. Prepare a short presentation on part a).

Hint: The following papers in the reading list are helpful to answer part a) of the question:

- **Exogenous demand shocks and long-run supply constraints:** Hilber and Vermeulen (2016) = main reading.
- **Irrational exuberance:** Case, Shiller and Thompson (2012) = main reading; but see also Shiller (2014), Case and Shiller (1989), Case and Shiller (1988), Case and Shiller (2003). Related to this: see also Wei *et al.* (2012) for China: Suggests that high house prices in China are not due to ‘irrational exuberance’ but due to housing being a status symbol in conjunction with the ‘one-child policy’.
- **Myopic agents & lags:** Wheaton (1999) = main reading.
- **Liquidity constraints:** Ortalo-Magne and Rady (2006) = main reading; but see also & Stein (1995), Genesove and Mayer (1997), Lamont and Stein (1999).
- **Loss aversion:** Genesove and Mayer (2001) = main reading; see also Kahneman and Tversky (1979), Tversky and Kahneman (1991).
- **Option theory and investment lags:** Grenadier (1996) = main reading; see also Grenadier (1995).

- **Search theory/matching models:** Head *et al.* (2014) = main reading; see also Diaz and Jerez (2013), Wheaton (1990).

Choose two theories among those listed above! Make sure you discuss (i) the main mechanism, (ii) the prediction(s) and (iii) supporting evidence for each of these two theories.

Sub-group B1 and B2:

Answer/discuss part b) of the exam question. Prepare a short presentation on part b).

Hint: The key paper is Capozza *et al.* (2004) but see also: De Fusco *et al.* (2013) and Case and Shiller (1988).

Sub-group C1 and C2:

Answer/discuss part c) of the exam question. Prepare a short presentation on part c).

Hint: The following papers in the reading list provide insights: Wheaton (1999); DeFusco *et al.* (2013); Nathanson & Zwick (2013).

Sub-group D1 and D2:

The exam question from 2012/3, discussed during Seminar 6, is a “partitioned question”. It’s partitioned because it consists of several parts – here, a), b), and c).

However, two of the four exam questions will be “essay style”, so they are not partitioned. One example of an essay-style question is the one from 2018/9:

To what extent can fundamental factors on the demand and supply side explain local real estate price cycles, and why and when do real estate prices deviate from such fundamental factors? Discuss with reference to the theoretical and empirical literature. (100 marks)

Your task: Prepare a short presentation that discusses the following:

- How should one generally approach/structure an “essay style” exam answer? What are the most important criteria?
- What are the difficulties in answering this particular essay-style question?

During the seminar, sub-groups will concisely present their answers. The pre-selected presenters of each sub-group will prepare short presentations (**max. 6 minutes, so 3 minutes per student**). They may ask their fellow sub-group members for support in preparing their presentation, and they may want to initiate a (Zoom or in-person) meeting to discuss their presentation before the seminar.

We will discuss the answers & revisit the question of how to answer exam questions most effectively during the seminar. The lecturer prepared some slides on “how to approach an exam/exam question?”. If there is time at the end of the seminar, this will be discussed during the seminar, otherwise it will be posted on Moodle.